



ADVANCE FROM CUSTOMERS

Advance from customers is the amount the customer pays before the service is provided.

Advance from Customers

Advance from customers/ Revenues	0.49%	0.47%	0.42%	0.47%	0.47%
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What is the service to be provided for it and when is it due? Will the firm have resources to provide the same

We see that the company does receive some advance from customers.

Compare advances with order book of the company

EXAMPLE

In subscription businesses like Amazon Prime, subscription is paid for the entire year while the service is consumed for the entire year.



In education as well, the fee is paid for the entire year, whereas the service is provided slowly across the entire year.

We need to analyze the advance from customers as a percentage of revenue. It is seen that it stands at 0.49 % for FY 2017, 0.47 % for FY 2018, 0.42 % for FY 2019, 0.47 % for FY 2020, and 0.47% for FY 2021.

However, this number can be very high in some industries, so we need to keep track of it. We need to know how much the customers are paying in advance. **A high advance from customers is indicative of high trust in the company by the customers.** With high advances, company gets the capital to invest to serve the customers. They require relatively less of external capital to run their business.

